

well worth paying him to do all this. We probably would have incurred similar costs doing it in-house.

So it wasn't a matter of paying Bamberger for the idea, but rather the execution of the idea. Essentially, you felt here was somebody who clearly understood the concept and could implement an idea that you weren't using anyway.

Exactly. There were almost no administrative costs in working with him. He was also someone who was very honest and principled.

In a series of articles Thorp wrote about his experiences with statistical arbitrage, he provided the following character sketch of Bamberger:

Gerry Bamberger was a tall trim Orthodox Jew with a very high I.Q., an original way of looking at problems in finance, and a wry sense of humor. He spent several weeks working with us in Newport Beach. After a few days I noticed that Gerry always brought a brown bag for lunch and always ate a tuna salad sandwich. I finally had to ask, "How often do you have a tuna salad sandwich for lunch?" Gerry said, "Every day for the last six years." He was a heavy smoker and I'm extremely sensitive to tobacco smoke—we did not hire smokers nor allow smoking in our office—so part of our negotiation was about how to handle this. We respected each other and worked out a compromise that met each of our needs. Whenever Gerry needed a cigarette he would step outside our ground floor garden office.¹¹

How did the fund work out?

It ran for a couple of years and did quite well, and then the return started to decline. By that time, Bamberger had made a fair amount of money from the joint venture, and he decided to retire. At that point, I refocused on the strategy and decided there was a better way to do it, which could get the return back up again. My thought was to make the strategy factor neutral. We did a principal components analysis of the portfolio and tried to neutralize the principal factors.

What specific factors did you end up neutralizing the portfolio against?